

Deliberation SAN-2023-024 of December 29, 2023

National Commission on Informatics and Liberties

Nature of the deliberation: Sanction

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Deliberation of the restricted formation No. SAN-2023-024 of December 29, 2023, concerning the company YAHOO EMEA LIMITED

The National Commission on Informatics and Liberties, convened in its restricted formation composed of Mr. Alexandre LINDEN, president, Mr. Philippe-Pierre CABOURDIN, vice-president, and Messrs. Alain DRU and Bertrand du MARAIS, members;

Considering Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of individuals with regard to the processing of personal data and on the free movement of such data (GDPR);

Considering Directive 2002/58/EC of the European Parliament and of the Council of July 12, 2002, concerning the processing of personal data and the protection of privacy in the electronic communications sector;

Considering Law No. 78-17 of January 6, 1978, relating to data processing, files, and freedoms, particularly its Articles 20 and following;

Considering Decree No. 2019-536 of May 29, 2019, taken for the application of Law No. 78-17 of January 6, 1978, relating to data processing, files, and freedoms;

Considering Deliberation No. 2013-175 of July 4, 2013, adopting the internal regulations of the National Commission on Informatics and Liberties;

Considering Decision No. 2020-127C of August 14, 2020, of the president of the National Commission on Informatics and Liberties, delegating the Secretary General to carry out or have carried out the verification of compliance with Law No. 78-17 of January 6, 1978, relating to data processing, files, and freedoms, as amended, and Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, of the processing accessible from the domain "yahoo.com";

Considering Decisions No. 2020-254C of August 14, 2020, and No. 2021-123C of January 4, 2021, of the president of the National Commission on Informatics and Liberties, delegating the Secretary General to carry out or have carried out a verification mission of the processing implemented by the companies VERIZON France and OATH BRANDS (France) SAS;

Considering the decision of the president of the National Commission on Informatics and Liberties designating a rapporteur before the restricted formation, dated July 10, 2023;

Considering the report of Mr. François PELLEGRINI, rapporteur, notified to the company YAHOO EMEA LIMITED on August 11, 2023;

Considering the written observations submitted by the company YAHOO EMEA LIMITED on September 29, 2023;

Considering the rapporteur's response to these observations notified to the company YAHOO EMEA LIMITED on October 25, 2023;

Considering the new written observations submitted by the company YAHOO EMEA LIMITED on November 28, 2023;

Considering the oral observations made during the session of the restricted formation on December 21, 2023;

Considering the other documents in the file;

Present during the session of the restricted formation:

- Mr. François PELLEGRINI, commissioner, heard in his report;

As representatives of the company YAHOO EMEA LIMITED: [...]

The company YAHOO EMEA LIMITED having spoken last;

The restricted formation adopted the following decision:

I. Facts and Procedure

1. The VERIZON group, whose parent company VERIZON COMMUNICATIONS INC. is located in the United States, is composed of several branches, including a "media" branch, directed for Europe by the subsidiary VERIZON MEDIA NETHERLANDS B.V., located in the Netherlands. This company has several subsidiaries, including VERIZON MEDIA EMEA LIMITED and OATH HOLDING (France) SAS. The company OATH HOLDING (France) SAS owns the company OATH BRANDS (FRANCE), which has been the name since 2018 of the company YAHOO! FRANCE, created in 2002.
2. The company VERIZON COMMUNICATIONS Inc. also has a VERIZON BUSINESS branch, which offers telecommunications services to professionals, including the company VERIZON. FRANCE.
3. After the acquisition of the VERIZON MEDIA group by the American company APOLLO GLOBAL MANAGEMENT, the company VERIZON MEDIA EMEA LIMITED became YAHOO EMEA LIMITED (hereinafter "the company").
4. The revenue of YAHOO EMEA LIMITED amounted to [...] euros for the year 2022 and to [...] for the year 2021. It employed [...] people as of August 26, 2021.
5. Between June 12, 2019, and October 2, 2020, the National Commission on Informatics and Liberty (hereinafter "the CNIL" or "the Commission") was seized by twenty-seven complainants denouncing, in particular, the placement of cookies on their terminal prior to any action, the failure to take into account their refusal of the placement of these cookies, as well as the modalities for refusing them from the domain "yahoo.com" and the email service "Yahoo Mail."
6. Following these complaints, a delegation from the Commission conducted an initial online inspection of the website "yahoo.com" and the email service "Yahoo Mail" on October 7, 2020, pursuant to decision no. 2020-254C of August 14, 2020, by the president of the CNIL.
7. During this inspection, the delegation reproduced, on the one hand, the path of a user visiting the domain "yahoo.com," which allows access to the Yahoo search engine, and on the other hand, the path of a user registering for the "Yahoo Mail" email service.
8. On June 10, 2021, a second online inspection with the same purpose as that conducted on October 7, 2020, was carried out by the CNIL delegation.
9. By letter dated June 3, 2021, pursuant to Article 19-III of the Data Protection Act, the company OATH BRANDS (FRANCE) was summoned to a hearing on June 23, 2021. All of these control operations led to exchanges between the delegation and the companies inspected, particularly concerning the purpose of the cookies whose placement had been observed during the online inspections, their activities, and the governance of personal data processing.
10. For the purpose of investigating these elements, the president of the Commission appointed Mr. François PELLEGRINI as rapporteur on July 10, 2023, based on Article 39 of decree no. 2019-536 of May 29, 2019.
11. The rapporteur, on August 11, 2023, notified the company of a report proposing that the restricted formation impose an administrative fine for a breach of Article 82 of Law no. 78-17 of January 6, 1978, relating to data processing, files, and freedoms (hereinafter "the Data Protection Act") which he deemed constituted in this case. He also proposed that this decision be made public, but that it should no longer be possible to identify the company by name after a period of two years from its publication.
12. On September 5, 2023, the company requested an additional period to present its observations in response.
13. On September 18, 2023, the president of the restricted formation decided to grant it an additional period of seven days.
14. On September 29, 2023, the company submitted its observations in response to the sanction report.
15. On October 25, 2023, the rapporteur sent his response to the company's observations.
16. On November 28, 2023, the company submitted new observations in response to those of the rapporteur.
17. On November 30, 2023, the rapporteur informed the company and the president of the restricted formation of the closure of the investigation. On the same day, the president of the restricted formation sent a summons to the session of the restricted formation on December 21, 2023.
18. The rapporteur and YAHOO EMEA LIMITED presented oral observations during the session of the

restricted formation.

II. Reasons for the decision

A. On the competence of the CNIL

On the material competence of the CNIL

19. The processing subject to this procedure relates to the placement of cookies and trackers on the terminal of the

users residing in France while browsing the site "yahoo.com" and using the service "Yahoo Mail". 20.

This processing is carried out within the framework of providing publicly accessible electronic communication services through a public electronic communications network offered within the European Union. As such, it falls within the material scope of Directive 2002/58/EC of the European Parliament and of the Council of July 12, 2002, concerning the processing of personal data and the protection of privacy in the electronic communications sector, as amended by Directive 2006/24/EC of March 15, 2006, and Directive 2009/136/EC of November 25, 2009 (hereinafter referred to as the "ePrivacy" directive). 21. Article 5, paragraph 3, of this directive, relating to the storage or access to information already stored in the terminal equipment of a subscriber or user, has been transposed into domestic law in Article 82 of the Data Protection Act, within Chapter IV of the law relating to the rights and obligations specific to processing in the electronic communications sector. 22. Under Article 16 of the Data Protection Act, "the restricted formation takes measures and imposes sanctions against the data controllers or processors who do not comply with the obligations arising [...] from this law."

According to Article 20, paragraph III, of the same law, "when the data controller or its processor does not comply with the obligations resulting [...] from this law, the president of the National Commission on Informatics and Liberty [...] may refer the matter to the restricted formation." 23. The rapporteur considers that the CNIL is materially competent to control and, if necessary, sanction the operations of access or registration of information implemented by VERIZON MEDIA EMEA LIMITED, now known as YAHOO EMEA LIMITED, in the terminals of users of the domain "yahoo.com" and the "Yahoo Mail" service residing in France, which is not contested by the latter. 24. In defense, the companies did not make any observations regarding the material competence of the CNIL. 25. The restricted formation recalls that the Council of State, in its decision Société GOOGLE LLC and société GOOGLE IRELAND LIMITED of January 28, 2022, confirmed that the control of access or registration operations of information in the terminals of users in France of an electronic communications service, even involving cross-border processing, falls under the competence of the CNIL and that the one-stop-shop system provided for by the GDPR is not applicable: "the application of the so-called 'one-stop-shop' mechanism applicable to cross-border processing, defined in Article 56 of this regulation, has not been provided for the implementation and control measures of Directive 2002/58/EC of July 12, 2002, which fall under the competence of national supervisory authorities under Article 15 bis of this directive. It follows that, concerning the control of access and registration operations of information in the terminals of users in France of an electronic communications service, even involving cross-border processing, the control measures for the application of the provisions transposing the objectives of Directive 2002/58/EC fall under the competence conferred to the CNIL by the law of January 6, 1978 [...]" (CE, January 28, 2022, 10th and 9th chambers combined, société GOOGLE LLC and société GOOGLE IRELAND LIMITED, no. 449209, in the collection). The Council of State reaffirmed this position in a ruling of June 27, 2022 (CE, 10th and 9th chambers combined, June 27, 2022, société AMAZON EUROPE CORE, no. 451423, in the Tables). 26. Therefore, the restricted formation considers that the CNIL is competent to control and initiate sanction procedures concerning the processing carried out by the company falling within the scope of the "ePrivacy" directive, provided that the processing is related to its territorial competence. On the territorial competence of the CNIL 27. The rule of territorial application of the requirements set out in Article 82 of the Data Protection Act is established in Article 3, paragraph I, of the same law, which states: "without prejudice, regarding processing falling within the scope of Regulation (EU) 2016/679 of April 27, 2016, to the criteria provided for in Article 3 of this regulation, all provisions of this law apply to the processing of personal data carried out in the context of the activities of an establishment of a data controller [...] on French territory, whether the processing takes place in France or not." 28. The rapporteur considers that the CNIL is territorially competent

under these provisions as soon as the processing subject to this procedure, consisting of operations of access or registration of information in the terminal of users residing in France while browsing the site "yahoo.com" and using the service "Yahoo Mail", is carried out within the "framework of the activities" of the company OATH BRANDS (FRANCE), now YAHOO France, which constitutes the "establishment" on French territory of YAHOO EMEA LIMITED, which the latter contests in defense on two grounds. 29. Regarding the notion of establishment, YAHOO EMEA LIMITED argues that YAHOO FRANCE is a distinct legal entity, of which it is not a shareholder, and that it cannot be regarded as its establishment in the sense of the Weltimmo decision of the Court of Justice of the European Union (hereinafter "the Court of Justice" or "CJEU") (October 1, 2015, C-230/14). It points out in this regard that the site "yahoo.com" is not exclusively or primarily focused on French territory, that YAHOO FRANCE does not represent it for the recovery of debts arising from the "yahoo.com" site, nor in administrative and judicial proceedings related to the processing of personal data. It emphasizes that, in any case, the CNIL could have communicated the complaints to the Irish authority.

30. Firstly, the restricted panel recalls that, consistently, the CJEU considers that the notion of establishment must be assessed flexibly and that, for this purpose, it is appropriate to evaluate both the degree of stability of the establishment and the reality of the exercise of activities in a Member State, taking into account the specific nature of the economic activities and services in question.

31. In this regard, the Court of Justice noted that "recital 19 of Directive 95/46 specifies that establishment on the territory of a Member State implies the effective and real exercise of an activity through a stable establishment" and that "the legal form chosen for such establishment, whether it is a simple branch or a subsidiary with legal personality, is not determinative" (CJEU, May 13, 2014, Google Spain, C-131/12, para. 48).

32. Similarly, the Court of Justice clarified that "the notion of establishment, within the meaning of Directive 95/46, extends to any real and effective activity, even minimal, carried out through a stable establishment," with the criterion of stability of the establishment being examined in light of the presence of "human and technical resources necessary for the provision of the specific services in question" (CJEU, October 1, 2015, Weltimmo, C 230/14, paras. 30 and 31).

33. The assessment of the existence of an "establishment on French territory" within the meaning of I of Article 3 of the Data Protection Act is therefore based on a flexible and case-by-case evaluation.

34. Secondly, the restricted panel notes, as indicated in the report without being contested on these points by YAHOO EMEA LIMITED, that it appears from the statutes of the company OATH BRANDS (FRANCE), which has become YAHOO FRANCE, that its registered office is located at 50-52 Boulevard Haussmann in Paris (75009) and that its purpose is: "the promotion in the French market of YAHOO's advertising products and solutions, which includes in particular the following missions: / - prospecting and developing new clients; / - maintaining and nurturing client relationships; / - identifying and understanding market trends; / - providing clients with industry-specific information; / and more generally, all financial, commercial, industrial, movable, and real estate operations that may be directly or indirectly related to the corporate purpose and to all similar or related purposes that may facilitate its extension and development."

35. Furthermore, during its hearing at the CNIL on June 23, 2021, OATH BRANDS (FRANCE) indicated that "a service contract was concluded between OATH BRANDS (FRANCE) SAS and VERIZON MEDIA EMEA Ltd., which provides that the former acts as a service provider on behalf of the latter to promote the products marketed by VERIZON MEDIA EMEA Ltd. to its French clients. (...)".

36. In addition, and as indicated in point 1, OATH BRANDS (FRANCE) is wholly and directly owned by a holding company whose share capital is itself wholly and directly owned by VERIZON MEDIA NETHERLANDS BV, which directly holds, moreover, the entirety of the share capital of VERIZON MEDIA EMEA LIMITED.

37. Finally, as indicated by OATH BRANDS (FRANCE) during its hearing at the CNIL on June 23,

2021, the presidency of the latter is directly exercised by VERIZON MEDIA NETHERLANDS BV, the parent company of VERIZON MEDIA EMEA.

LIMITED, now the company YAHOO EMEA LIMITED, responsible for processing. 38. Furthermore, it was also specified during this hearing that "the company OATH BRANDS (FRANCE) invoices its operating costs to the company VERIZON MEDIA EMEA LTD with a margin" and that the person "in charge of the commercial branch of the company OATH BRANDS (FRANCE), namely the promotion of the advertising products provided and sold by the company VERIZON MEDIA EMEA LTD. (...) reports [to the latter]." 39. Lastly, the restricted panel indicates that in its decision *Société Google LLC and Société Google Ireland Limited* (CE, January 28, 2022, no. 449209, in the Collection), the Council of State excluded the application of the single window mechanism for reading and writing operations in a terminal. Thus, the CNIL would not, in any case, have been able to communicate the complaints it received to its Irish counterpart. 40. Therefore, the restricted panel believes that the company OATH BRANDS (FRANCE), now the company YAHOO France, constitutes an establishment, within the meaning of Article 3 of the Data Protection Act, of the company VERIZON MEDIA EMEA LIMITED, now the company YAHOO EMEA LIMITED. 41. Regarding the existence of processing carried out within the framework of the activities of this establishment, the company YAHOO EMEA LIMITED argues that the processing in question does not occur within the activities of YAHOO FRANCE. It indicates in this regard that YAHOO FRANCE is neither involved in the processing nor in the design or management of the data processing it carries out and does not represent it in these tasks. It adds that YAHOO FRANCE is not the provider of the site "yahoo.com" and is not involved in the relationships with its French users. It specifies that YAHOO FRANCE is also not involved in the sale of advertising space on the site "yahoo.com," its role being limited to promoting Yahoo services to advertisers. It deduces from this that the activity of YAHOO FRANCE is not necessary for the processing of data it carries out, so that there are no inextricable links between their two activities, and refers in this regard to the decisions of the Council of State *Google Inc.* (CE, March 27, 2020, no. 399922, in the Collection) and *Amazon Europe Core S.A.R.L.* 42. Finally, the company YAHOO EMEA LIMITED notes that the broad interpretation of the notion "in the context of activities" retained in the decision *Google Spain SL and Google Inc.* was justified by the specific circumstances of the case in order to avoid any infringement of the protection of users residing in the European Union, a risk that does not arise in this case since it has its headquarters and main establishment in a Member State. 43. First, the restricted panel notes that the Council of State, in its decision *AMAZON EUROPE CORE*, recalled that "it follows from the case law of the Court of Justice of the European Union, notably from its judgment of June 5, 2018, *Unabhängiges Landeszentrum für Datenschutz Schleswig-Holstein against Wirtschaftsakademie Schleswig-Holstein GmbH* (C-210/16), that in view of the objective pursued by this directive [the "ePrivacy" directive], which consists of ensuring effective and complete protection of the freedoms and fundamental rights of natural persons, in particular the right to privacy and the protection of personal data, personal data processing can be regarded as carried out "in the context of the activities" of a national establishment not only if that establishment itself intervenes in the implementation of this processing, but also in cases where it merely ensures, on the territory of a Member State, the promotion and sale of advertising spaces enabling the monetization of services offered by the data controller consisting of collecting personal data through connection trackers installed on the...

visitor terminals of a site" (CE, 10th and 9th chambers combined, June 27, 2022, *AMAZON EUROPE CORE*, No. 451423, at the Tables). 44. The Council of State also considered, in this decision, that this was the case when the activities of the establishment of the data controller consist of the promotion and marketing of advertising tools controlled and operated by the data controller, which function notably thanks to the data collected through connection trackers deposited on the terminals of the users of the site operated by the data controller (point 15 of the aforementioned decision). Thus, the fact that YAHOO FRANCE is neither involved in the processing in question nor directly in the sale of advertising spaces does not affect the fact that the processing carried out by YAHOO EMEA LIMITED may fall within the scope of the activities of this establishment. 45. Secondly, the restricted formation emphasizes, as indicated in the report, that YAHOO EMEA LIMITED markets advertising spaces and technological platforms available in this domain. It also specifies that YAHOO France is responsible for

promoting the products sold by this company in the French market. 46. Thus, during its hearing on June 23, 2021, YAHOO FRANCE indicated that "the majority of the employees [of the company] work on promoting the products sold by VERIZON MEDIA EMEA Ltd., located in Ireland, which publishes the sites 'yahoo.com' available in the EMEA region, including the site 'fr.yahoo.com'. It also specified that these products, "marketed by VERIZON MEDIA EMEA Ltd., are primarily advertising products and technological platforms that allow the dissemination of advertisements on the Internet." "Promoted by OATH BRANDS (FRANCE) SAS," these products "are present on the site 'fr.yahoo.com' or other partner client sites that use the SSP of VERIZON MEDIA EMEA Ltd." It emerges from this hearing that among these technological platforms are programmatic advertising tools called "Supply Side Platform" (platform for supply) and "Demand Supply Platform" (platform for demand). 47. However, these technological platforms that YAHOO FRANCE promotes exploit the deposit of cookies in their operation. Indeed, the deposit of cookies is necessary to ensure the traceability of the user's navigation over time, and their reading from a page where an advertiser purchases an advertising space is necessary to be able to offer him a set of personalized advertisements based on this navigation. 48. Thus, the processing consisting of operations of access or registration of information in the terminals of users residing in France, during navigation on the site "yahoo.com" and the use of the service "Yahoo Mail," is carried out within the framework of the activities of YAHOO FRANCE. 49. The restricted formation notes that the two criteria provided for in Article 3, paragraph 1, of the Data Protection Act are therefore met. 50. It follows that French law is applicable and that the CNIL is materially and territorially competent to exercise its powers, among which is the power to impose sanctions concerning processing falling within the scope of the "ePrivacy" directive. B. On the determination of the data controller 51. The restricted formation notes that paragraph 7 of Article 4 of the GDPR, which applies due to the reference made by Article 2 of the "ePrivacy" directive to the former directive 95/46/EC which has been replaced by the GDPR, provides that the data controller is "the natural or legal person, public authority, service, or other body that, alone or jointly with others, determines the purposes and means of the

".52. In this case, the restricted formation notes, without contest from the company, that the privacy policy, in its versions available at the time of the checks, states that "We use cookies and other technologies when you visit our Products and when you use third-party applications and websites that use our Services," specifying that the term "We" is defined at the beginning of the privacy policy as referring to the company VERIZON MEDIA EMEA LIMITED. Furthermore, in its letter dated July 2, 2021, the latter indicated that it "determines the purposes and means of processing personal data related to targeted advertising on all domains that were visited during the checks" and that on this occasion, it communicated to the control delegation the purpose of the cookies whose placement was noted during the online checks.

53. Moreover, both YAHOO FRANCE and VERIZON FRANCE informed the delegation that the responsibility for processing regarding the site "yahoo.com" and the "Yahoo Mail" messaging service lies with VERIZON MEDIA EMEA LIMITED.

54. Thus, the restricted formation considers, without contest from the company, that YAHOO EMEA LIMITED acts as the data controller in question, as it determines the purposes and means of processing involving operations to access or register information on the devices of users residing in France when using the "yahoo.com" domain and the "Yahoo Mail" messaging service.

C. On the complaint regarding the irregularity of the procedure

55. The company argues the length of the present procedure, with the last CNIL check and the appointment of the rapporteur dating respectively from October 2021 and July 2023. It considers that the time elapsed between these two procedural stages has infringed upon the rights of the defense and constitutes a violation of the right to good administration, in an impartial and fair manner, and within a reasonable time, as enshrined in Article 41 of the Charter of Fundamental Rights of the European Union.

56. Furthermore, the company contests the methodology followed by the CNIL delegation during its online check No. 2020-127/1 insofar as one of the screenshots reproduced on page 14 of the report

does not correspond to the one referenced in the report and attached as Exhibit No. 25.

57. The restricted formation first considers that it is not its role to assess the time elapsed between, on the one hand, the decision of the president ordering a check and, on the other hand, the decision by which she appoints a rapporteur and refers the matter to the restricted formation. Moreover, the sanction procedure conducted since the appointment of the rapporteur and the referral of the formation by the president of the CNIL, dated respectively July 10 and 11, 2023, took place in less than six months and therefore under conditions respectful of the rights of the defense, in terms of reasonable time.

58. Next, the restricted formation notes that the control report contains no errors insofar as page 14 of it includes two screenshots reproduced one below the other, separated by the mention "Let us note the following display," and that the reference made by the report to Exhibit No. 25 attached to the report corresponds only to the second screenshot. The first screenshot, mentioned by the company in its defense, does not refer to any annex. Aside from the absence of any irregularity affecting the control procedure and consequently the procedure followed before the restricted formation, it also notes that the presentation of the report and its annexes was never contested by the company after notification of the documents by the CNIL delegation.

59. Consequently, the complaint regarding..."

cookies sans le consentement préalable des utilisateurs.66. En conclusion, la société demande que les manquements constatés lors du contrôle en ligne du 7 octobre 2020 soient écartés, en raison de l'irrégularité de la procédure et des circonstances particulières entourant cette mission de contrôle.67. Elle sollicite également que la CNIL prenne en compte l'effort qu'elle a déployé pour se conformer aux exigences légales et réglementaires en matière de protection des données personnelles, ainsi que les mesures correctives mises en place depuis lors.68. La société souligne enfin qu'elle reste engagée dans un dialogue constructif avec la CNIL pour garantir le respect des droits des utilisateurs et la conformité de ses pratiques en matière de cookies et de protection des données.

cookies on its site without complying with the applicable legislation. It also specifies that after receiving notification of the online report of findings on October 7, 2020, it immediately took additional measures, particularly with its partners, to ensure that consent was obtained before the placement of advertising cookies. It notes that these measures proved effective since no new cookies were deposited without prior consent during the second online check conducted on June 10, 2021.

66. Firstly, regarding the applicable legal framework, the restricted formation emphasizes that the CNIL explicitly stated in a press release dated September 29, 2020, that while it allowed organizations a period to comply with its guidelines of September 17, 2020, it would continue to pursue breaches of the rules concerning cookies prior to the application of the GDPR, as clarified by its recommendation of December 5, 2013. The restricted formation recalls that while cookie recommendations have evolved, the practices attributed to the company have continuously been deemed non-compliant by the CNIL, and this position remains unchanged.

67. Secondly, regarding the paths reproduced by the control delegation, the restricted formation notes that it emerges from the online control report conducted on October 7, 2020, that during a first scenario, it found that at least 20 cookies pursuing an advertising purpose had been placed on its terminal while it had not expressed its consent. It observes that during its path, when the delegation visited the "yahoo.com" page, it noted the display of a window stating "Your data. Your experience" regarding the use of cookies by the company, which included an "I accept" button and a "Manage settings" button.

68. After clicking on the "Manage settings" button, the delegation observed the appearance of an interface allowing the configuration of cookie placement, by purposes or by partners through toggle buttons, which were disabled by default. The delegation did not activate any of these buttons and then clicked on the "Save and continue" button to proceed with its navigation. The restricted formation notes that during this first control scenario, the CNIL delegation recorded the placement of 26 cookies, of which, according to the information provided by the company during the investigation, 7 pursued an

advertising purpose.

69. The restricted formation notes that during a second scenario, initiated after the deletion of cookies within its browser, the delegation navigated on the "yahoo.com" domain to create a "Yahoo mail" email account. As in the first scenario, it did not express its consent to the placement of cookies. The restricted formation observes, as it emerges from the documents in the file, that halfway through, the delegation noted the placement of 26 cookies, of which 12 pursued an advertising purpose, according to the information provided by the company during the investigation. It notes that once its account creation path was completed, the delegation observed the presence of 47 cookies on its terminal, of which 8 pursued an advertising purpose, thus adding to the 12 previously noted. In total, the delegation noted in this scenario the placement of 20 cookies for advertising purposes.

70. It therefore considers that, contrary to what the company claims, the methodology followed by the control delegation clearly establishes that at least 20 cookies pursuing an advertising purpose were registered on its terminal, without prior consent.

71. The restricted formation then notes that in its response to the company's observations, the rapporteur...

****a**** excluded from the scope of the breach the 103 cookies whose deposit was noted by the delegation from a page not belonging to the domains under the responsibility of the company. Finally, it observes that all the documents submitted to the file show, without the slightest ambiguity, that the control delegation never expressed its consent to the deposit of cookies by any action whatsoever.

****72.**** Secondly, the restricted formation recalls that Article 82 of the Data Protection Act requires consent for the reading and writing operations of information on a user's terminal but provides for cases in which certain trackers benefit from an exemption from consent: either when the sole purpose is to allow or facilitate electronic communication, or when it is strictly necessary for the provision of an online communication service at the express request of the user.

****73.**** In this case, the advertising-purpose cookies are neither trackers intended to allow or facilitate electronic communication, nor are they strictly necessary for the provision of an online communication service at the express request of the user; therefore, they cannot be deposited or read on the person's terminal, in accordance with Article 82 of the Data Protection Act, as long as the user has not provided their consent.

****74.**** However, the restricted formation observes that during the two scenarios followed by the delegation, numerous cookies requiring prior consent were deposited on its terminal without it having previously expressed its agreement.

****75.**** Even though the restricted formation notes that the company has indeed implemented an interface allowing users to express their choice regarding the registration of cookies on their terminal through push buttons, this did not prevent the deposit of cookies even though the delegation did not activate any of these buttons. It considers that the ineffectiveness of this interface has serious consequences for the user who has not authorized the deposit of any cookie since they cannot reasonably think that their choice will be respected by the company.

****76.**** Lastly, regarding the circumstance that the cookies deposited without consent were done so by third parties, the formation recalls that the Council of State has ruled (CE, June 6, 2018, Editions Croque Futur, No. 412589, in the Recueil) that among the obligations imposed on the publisher of a site on which "third-party cookies" are deposited is the obligation to ensure with its partners, on the one hand, that they do not emit, through its site, trackers that do not comply with the applicable regulations in France and, on the other hand, to take all necessary steps with them to put an end to breaches. The Council of State particularly ruled that "site publishers who allow the deposit and use of such 'cookies' by third parties during the visit to their site must also be considered as data controllers, even if they are not subject to all the obligations imposed on the third party that issued the 'cookie', especially when the latter alone retains control over the respect of its purpose or its retention period. Among the obligations imposed on the site publisher in such a case is the obligation to ensure with its partners that they do

not emit, through its site, 'cookies' that do not comply with the applicable regulations in France and the obligation to take all necessary steps with them to put an end to breaches."

****77.**** Furthermore, as indicated in its deliberation SAN-2021-013 of July 27, 2021, the restricted formation notes that while the recommendations issued by the plenary formation of the CNIL regarding cookies have evolved to take...

accounting for the changes induced by the GDPR regarding consent in particular, these changes have no impact in the present case and it has continuously been considered, as indicated by Article 3 of deliberation No. 2013-378 of December 5, 2013, adopting a recommendation regarding cookies and other trackers referred to in Article 32-II of the law of January 6, 1978, that "when several actors are involved in the deposit and reading of cookies (for example, when publishers facilitate the deposit of cookies that are then read by advertising agencies), each of them must be considered jointly responsible for the obligations arising from the provisions of the aforementioned Article 32-II [current Article 82 of the law of January 6, 1978]." 78. This deliberation specified that this applies "to website publishers (or mobile application publishers, for example) and their partners (advertising agencies, social networks, audience measurement solution providers...). Indeed, insofar as website publishers often constitute the sole point of contact for internet users and the deposit of third-party cookies is dependent on navigation on their site, it is their responsibility to carry out, alone or jointly with their partners, the prior information and collection of consent, as detailed in Article 2 of this recommendation." 79. The restricted formation also emphasizes that it has, on several occasions, imposed financial sanctions against website publishers for actions related to the reading and/or writing of information, including by third parties, on the terminals of users visiting their site, notably in deliberation No. SAN-2020-009 of November 18, 2020, and in deliberation No. SAN-2020-013 of December 7, 2020. 80. In this case, the company claims that it has deployed all means to ensure that its partners do not deposit cookies through the site "yahoo.com" without complying with the applicable regulations. In this regard, it relies on a document titled "Practices, improvements, and governance implemented [...] regarding cookies." 81. This document first reports on a management program and integration of its partners, notably providing that they "can only rely on the consent collected via Yahoo EMEA's consent management platform ("CMP"), on the sites owned and operated by Yahoo EMEA, to be able to deposit or access information on users' terminals." 82. It is also specified that "Yahoo EMEA has sent surveys to its partners to understand how they managed Yahoo EMEA's consent signals when Yahoo EMEA believed there was potential ambiguity or misinterpretation of the signals they received from Yahoo EMEA. Yahoo EMEA excluded all partners from the sites it owns and operates as soon as Yahoo EMEA had reasonable grounds to believe that the practices of these partners were not compliant with Yahoo EMEA's policies and procedures." This document then reports various improvements related to cookie practices, including the reevaluation of advertising systems, strengthening governance, and implementing more formal and frequent control of the sites owned and operated by Yahoo. 83. The restricted formation notes that, while all these measures have resulted in the company's partners no longer depositing cookies without user consent, as evidenced by the online control of June 10, 2021, they were only deployed after the first online control of October 7, 2020, as indicated by the company in its submissions. 84. It considers that these measures have no impact on the fact that the company allowed, at least until October 2020, the deposit of cookies subject to the prior collection of user consent without the conditions under which this refusal could be exercised."94. The restricted formation emphasizes that the obligation to ensure that users can easily withdraw their consent is a fundamental principle of data protection law. It reiterates that the consent must be as easy to withdraw as it is to give, and that any practice that undermines this principle is likely to be in violation of the applicable legal framework.95. In light of these considerations, the restricted formation concludes that YAHOO EMEA LIMITED has failed to comply with the provisions of Article 82 of the "Loi Informatique et Libertés" regarding the withdrawal of consent for cookies.96. Consequently, the restricted formation decides to impose a fine on YAHOO EMEA LIMITED for this violation, taking into account the seriousness of the infringement and the need to ensure compliance with data protection laws.97. The amount of the fine will be determined in accordance with the guidelines established by the CNIL and will reflect the need

to deter similar violations in the future.⁹⁸ The decision will be communicated to YAHOO EMEA LIMITED, which will have the right to appeal against it in accordance with the applicable legal provisions.

specific techniques for expressing such a refusal, did not taint its deliberation with any disregard for the applicable rules in this matter" (CE, June 19, 2020, No. 434684, Tables). Thus, this provision of the guidelines, which merely recalls the legal rules, has not been reformed by the Council of State. ⁹⁴ Finally, the guidelines of September 17, 2020, resulting from deliberation No. 2020-091, merely reiterated this principle, indicating in point 31 that "it must be as easy to withdraw consent as it is to give it. Users who have given their consent to the use of trackers must be able to withdraw it easily and at any time." Therefore, this is not a new orientation that these guidelines would have established. ⁹⁵ Secondly, the restricted formation notes that both during the online inspection on October 7, 2020, and during that of June 10, 2021, the CNIL delegation observed the display, during the consent withdrawal process, of messages intended to inform the user of the consequences of their choice on the use of Yahoo services. ⁹⁶ In this regard, it emerges from the first inspection carried out on October 7, 2020, for which the delegation had created a "Yahoo mail" account, that when the delegation followed the process allowing them to withdraw their consent, a window appeared indicating that the data controller "stores cookies (or a similar technology) on [the] user's device" as well as a note specifying: "You must accept them to be able to use Verizon Media products. If you disable them, you revoke your consent and will no longer be able to access Verizon Media products, including Yahoo Mail, Yahoo News, Huffington Post, etc." ⁹⁷ The restricted formation also notes that after clicking on the link titled "Learn more" at the bottom of this window, the CNIL delegation arrived at a new page containing an article answering a question whose wording indicates "What happens if I withdraw my cookie consent from the privacy dashboard?" and that the answer to this question specified that if "users from the European Union can withdraw this cookie consent for their account from the privacy dashboard," "withdrawing this consent will result in blocking access to our products and to other Verizon Media sites and applications." ⁹⁸ Regarding the second online inspection on June 10, 2021, during which the control delegation navigated the "yahoo" domain without creating an account, the restricted formation also notes that while an internet user could revoke their general consent from the page titled "Privacy Dashboard and Controls (Visitors)," it appears that before the individual completed the procedure to withdraw their consent, a page would pop up followed by the mention "Are you sure? You will no longer be able to access YAHOO or other Verizon Media products." ⁹⁹ This alert was accompanied by a text specifying "if you revoke your general consent, you lose access to all Verizon Media products, including the content of your mailbox, both through Verizon Media services and through third-party tools that may access Verizon Media services. Your account will be considered inactive and will be deleted after 12 months of inactivity. Please note that no content related to your account, such as your registration information or the content of your mailbox, will be deleted as long as your account has not been deleted. You will continue to receive emails in your account but will no longer be able to access them. If you wish to reuse a Verizon Media product, you will need to provide your general consent again before you can access it. If you wish to perform other activities in the dashboard on privacy (such as downloading a summary of your data) or in other Verizon Media products, please do so before revoking your consent." At the bottom of this window were two buttons, one labeled "Back" and the other "Revoke my general consent." ¹⁰⁰ The restricted panel notes that during the journeys followed by the delegation, the user is invited to express their choice regarding the registration of cookies on their device. However, it observes that during these journeys, the company does not provide any information to the user regarding the fact that the registration of certain cookies, regardless of their purposes, is inseparable from the provision of Yahoo services, including the email service. It notes that it is only during the journey dedicated to the withdrawal of consent that the company informs the user that the use of its services is conditional upon the acceptance of certain cookies and what the consequences of withdrawing consent are. ¹⁰¹ The restricted panel observes that while linking the use of a service to the registration of cookies that are not strictly necessary for the service provided, a practice that is akin to a cookie wall, is not illegal in itself, it is on the condition that consent is freely given, which implies that both the refusal of consent and its withdrawal do not result in detriment to the user. ¹⁰² The restricted panel emphasizes on this point that in its decision Meta (C

252/21, July 4, 2023), the CJEU sheds light on the conditions under which consent given by a user of a service and, consequently, its withdrawal, can be considered free. Thus, in paragraph 150 of its decision, the Court indicates that "users must have the freedom to individually refuse, within the contractual process, to give their consent to specific operations of processing of data that are not necessary for the execution of the contract without being required to completely renounce the use of the service offered by the operator of the online social network, which implies that such users are offered, where appropriate against appropriate remuneration, an equivalent alternative not accompanied by such data processing operations." 103. However, in this case, the withdrawal of consent cannot occur without detriment to the user since they can no longer use the email service. Even assuming that the company could validly claim that it had implemented a "cookie wall," and aside from the fact that the company does not properly inform users at the time of account creation or when they arrive on the "Yahoo.com" page that the use of its services is inseparable from the placement of cookies, it appears that the company does not offer an alternative to users wishing to withdraw their consent, for example by providing a paid email service. 104. The restricted panel notes that the absence of an alternative offered by the company necessarily affects the free nature of the withdrawal of consent. Indeed, the user of the "Yahoo Mail" service can, through this service, communicate with others using their email address, develop their network and virtual address book, and archive important personal or professional conversations. Thus, as they use their email address, the user becomes captive to the email service in question, which constitutes an element of their private, family, and possibly professional life, and they can no longer easily replace it with any similar service once they have started using it. Users who do not wish to change their email address and forfeit the content of their mailbox are therefore...

led to renounce the withdrawal of their consent since the company does not offer any alternative.

105. The restricted formation then observes that despite the presence of buttons allowing for the withdrawal of consent, these messages are likely to constitute a serious obstacle for the user who, in order to withdraw their consent, must notably be prepared to give up the use of their email address, which hinders their ability to correspond with others. Such a renunciation constitutes, according to the restricted formation, a detriment in the sense of recital 42 of the aforementioned GDPR in the absence, as recalled in the previous paragraphs, of an alternative proposed by the company. In these circumstances, the restricted formation considers that the withdrawal of consent for the registration of cookies is not free.

106. Thirdly, the restricted formation also notes that while the company indicates that there were other methods allowing users to withdraw their consent, via the "Yahoo Privacy Dashboard" and the "General Consent" tab, it provides no evidence in this regard. The restricted formation observes that during the user journeys it followed, the delegation systematically clicked on buttons and tabs with intuitive titles such as "Your Account," then "General Consent," or "Learn More." Thus, the paths followed by the delegation during the two online checks are those that users are most likely to follow when they wish to withdraw their consent.

107. Lastly, the formation believes that the circumstance put forward by the company, according to which users no longer wishing to use the Yahoo email service could exercise their right to data portability as provided by Article 20 of the GDPR, in no way prevents the placing of cookies on the terminal, which is, however, the object of the right to withdraw consent. Moreover, it does not result from the investigation that the company offered this solution to these users when they wished to withdraw their consent.

108. Under these conditions, the restricted formation considers that by obstructing the withdrawal by the user of their consent, the company has failed to meet its obligations under Article 82 of the Data Protection Act.

III. On corrective measures and publicity

109. Under the terms of III of Article 20 of the Data Protection Act:

110. "When the data controller or its processor does not comply with the obligations arising from Regulation (EU) 2016/679 of April 27, 2016, or from this law, the president of the National Commission for Information Technology and Civil Liberties may also, if necessary after having sent them the warning provided for in I of this article or, if applicable, in addition to a formal notice provided for in II,

refer the restricted formation of the commission for the purpose of pronouncing, after adversarial proceedings, one or more of the following measures: (...) 7° Except in cases where the processing is carried out by the State, an administrative fine not exceeding 10 million euros or, in the case of a company, 2% of the total global annual turnover of the previous financial year, the higher amount being retained. In the cases mentioned in 5 and 6 of Article 83 of Regulation (EU) 2016/679 of April 27, 2016, these ceilings are raised, respectively, to 20 million euros and 4% of said turnover. The restricted formation takes into account, in determining the amount of the fine, the criteria specified in the same Article 83."

111. Article 83 of the GDPR, as referred to by Article 20, paragraph III, of the Data Protection Act, provides that: "Each supervisory authority shall ensure that the administrative fines imposed under this article for violations of this regulation referred to in paragraphs 4, 5, and 6 are, in each case, effective, proportionate, and deterrent", before specifying the elements to be taken into account to decide whether to impose an administrative fine and to determine the amount of this fine.

A. On the Imposition of an Administrative Fine

112. In defense, the company YAHOO EMEA LIMITED argues that given all the circumstances of the case, and more particularly its ongoing and proactive efforts in data protection, the administrative fine proposed by the rapporteur should be reduced and cannot, in any event, reach the legal maximum. It indicates that the length of the investigation has had a significant negative impact on the amount of the fine, which is now determined in light of its 2022 revenue, which is significantly higher than that of 2020 that would have been taken into account if the restricted formation had examined the case in 2021. It adds that several of the factors mentioned in paragraph 2 of Article 83 of the GDPR justify reducing the amount of the administrative fine. In this regard, it specifies that the imposed fine should correspond to that imposed in similar cases, in accordance with the principles of non-discrimination and equal treatment. The company adds that the CNIL must, in determining the amount of the administrative fine, take into account the relative severity of the breaches, the number of individuals affected by them, their duration, the measures taken following the first online inspection, and its cooperation with its services.

113. The restricted formation recalls that Article 20, paragraph III, of the Data Protection Act gives it the authority to impose various sanctions, including administrative fines, the maximum amount of which can be equivalent to 2% of the total global annual revenue of the previous fiscal year generated by the data controller or to 10 million euros. It adds that the determination of the amount of these fines is assessed in light of the criteria specified by Article 83 of the GDPR.

114. Firstly, regarding the imposition of an administrative fine, the restricted formation emphasizes that it is appropriate, in this case, to apply the criterion provided for in paragraph a) of Article 83, paragraph 2, of the GDPR relating to the severity of the breach, taking into account the nature and number of individuals affected by it.

115. Concerning the nature of the first aspect of the breach, the restricted formation notes that the data controller has seriously infringed the right of users of its services to maintain control over their data, by processing it without their knowledge, contrary to the very principle set forth in Article 82 of the Data Protection Act, which conditions such action on the express consent of the user.

116. Regarding the scope of the reading and writing operations, the restricted formation notes that the breach results from the depositing of cookies by about fifteen companies specializing in personalized advertising, whose purpose is to track the user's web browsing in order to subsequently display advertisements corresponding to their behavior.

117. Regarding the second aspect of the breach, the restricted formation emphasizes its particular severity, as the conditions for withdrawing consent are intrinsically linked to the freedom to consent. However, in this case, the modalities lead to pressuring users to dissuade them from withdrawing their consent to the depositing of cookies, by leading them to believe that they might no longer be able to use Yahoo's services. The restricted formation believes that the violation of Article 82 of the Data Protection Act is all the more serious as it involves users waiving, in particular, the use of their messaging and email address, which are important elements of their private, family, and possibly professional lives.

118. Finally, the restricted formation recalls that the two aspects of the violation have continuously been considered non-compliant by the CNIL, notably in the first recommendation dated December 5,

2013.

119. Regarding the duration of the violation, for the first aspect, the restricted formation estimates that it lasted at least four months, from the first online inspection on October 7, 2020, until the finalization, on February 12, 2021, of the first measure to reassess the company's practice to ensure that third parties comply with cookie legislation. For the second aspect, which was observed both during the first online inspection and during the second on June 10, 2021, the duration of the violation lasted at least until July 7, 2021, the date on which the company removed the "General Consent" tab and the accompanying text. The restricted formation therefore estimates that it lasted at least 21 months.

120. The restricted formation emphasizes the significant number of affected individuals, approximately 5 million unique visitors to the "yahoo.com" domain between 2019 and 2020.

121. Secondly, the restricted formation notes that the company collaborated with the CNIL services and responded to all information requests within the allotted time. In doing so, the companies complied with the obligations arising from Article 18 of the Data Protection Act, without this constituting a mitigating circumstance in the sense of f) of Article 83 of the GDPR, as the company does not demonstrate that its collaboration with the CNIL remedied the identified violation and mitigated its negative effects.

122. Thirdly, the restricted formation notes that the improvements related to the company's cookie practices, summarized in the document titled "Practices, Improvement, and Governance Implemented by Yahoo EMEA Regarding Cookies," were finalized between February and July 2021, such that they cannot be usefully taken into account regarding the practices identified previously, during the first online inspection that took place in October 2020 and the practice observed during the second online inspection in June 2021. Furthermore, and in any case, as indicated by the rapporteur in his response to the company's observations, the updating of the user data protection process for Yahoo services is part of the company's ongoing management, which must ensure that its digital activity is conducted legally and, more specifically, complies with the Data Protection Act.

123. Fourthly, the restricted formation emphasizes that the company cannot usefully compare its situation to those of other companies that have been sanctioned for violations of Article 82 of the Data Protection Act, as the amount of a fine must be determined on a case-by-case basis.

124. Lastly, the proposed administrative fine must be calculated based on the global annual revenue of the previous fiscal year, in accordance with the requirements of Article 20 of the Data Protection Act. The fact that the legal ceiling of the sanction incurred by the company would have been lower, given the increase in its revenue between 2020 and 2022, if the practices in question had been examined in 2021 has no impact on this point.

125. It follows from all the above and the criteria duly taken into account by the restricted formation, in light of the maximum amount incurred established on the basis of 2% of the revenue, that it is justified to impose an administrative fine of ten million (10,000,000) euros.

B. On the publicity of the decision

126. The company YAHOO EMEA LIMITED argues that such a measure is disproportionate for the same reasons as those related to the imposition of an administrative fine.

127. However, the restricted formation considers that the publicity of this decision is justified in light of the seriousness of the violation in question, the scope of the processing, and the number of affected individuals. It particularly believes that this measure will alert users, as the disputed cookies were placed without their knowledge, to the nature of the violations in question.

128. Finally, the restricted formation considers that the measure is proportionate since the decision will no longer specifically identify the company after a period of two years from its publication.

FOR THESE REASONS

The restricted formation of the CNIL, after deliberation, decides to:

- impose an administrative fine of ten million (10,000,000) euros against the company YAHOO EMEA LIMITED for violation of Article 82 of the Data Protection Act;
- make public, on the CNIL website and on the Légifrance website, its deliberation, which will no longer specifically identify the company after a period of two years from its publication;
- send this decision to the company YAHOO FRANCE for execution.

The president

Alexandre LINDEN

This decision may be subject to appeal before the Council of State within four months from its notification.